

things, and loving tangible things is not bad. We've just gotten a little lost in how we prioritize them with the intangible things money can't directly buy. Because the intangible are not just things we want, they're things we need.

We think of needs as just the necessities for physical survival, but many of our internal desires are needs as well. We obviously need to meet physical needs first, but once our physical needs are met, our brains want more and move on to these higher internal needs. And the more our society focuses on buying tangible items as the way to meet all our needs, the further we get from the well-rounded health our brains are after.

We're consuming goods at a higher rate, but we're not getting happier. In a 2024 Gallup poll,¹ 29 percent of US adults reported having been diagnosed with depression at some point in their lifetime, nearly 10 percent higher than in 2015, and the rate of anxiety among eighteen- to twenty-five-year-olds nearly doubled from 2008 to 2018.² When you don't treat internal desires as needs, they don't just go away. Regardless of how you value them, you will blatantly or subconsciously pursue them, and oftentimes that means spending on them.

I (Jen) used to love going out with friends. I would go out four to six times a week for dinner, coffee, or happy hour. I had never given myself space to think about why I loved going out. But when Travis and I committed to paying off our debt and I stopped eating out as much, I was forced to think about it. I realized it wasn't the food and drinks I missed, it was the people. When I figured that out, I recognized that going out wasn't even the best way to spend meaningful time with friends. Most of the time the restaurants were loud, the chairs were far apart, and our mouths were full. I spent all that money and rarely got what I really wanted, which just led to more spending on it because the true need wasn't being met. And not only was I not meeting the need, the spending led to guilt because it was outside of traditionally defined "needs."

The tension between physical and internal needs isn't new. In 1943, psychologist Abraham Maslow explained our diverse range of internal and external desires as a "hierarchy of needs." He recognized that while some needs are more important than others, as in your body literally cannot function without some of them, others are necessary in order to function well. Maslow's hierarchy of needs is aptly depicted as a triangle divided into five levels. We've included our favorite depiction of it on the resources page for this book available at www.frugalfriendspodcast.com/book. Our